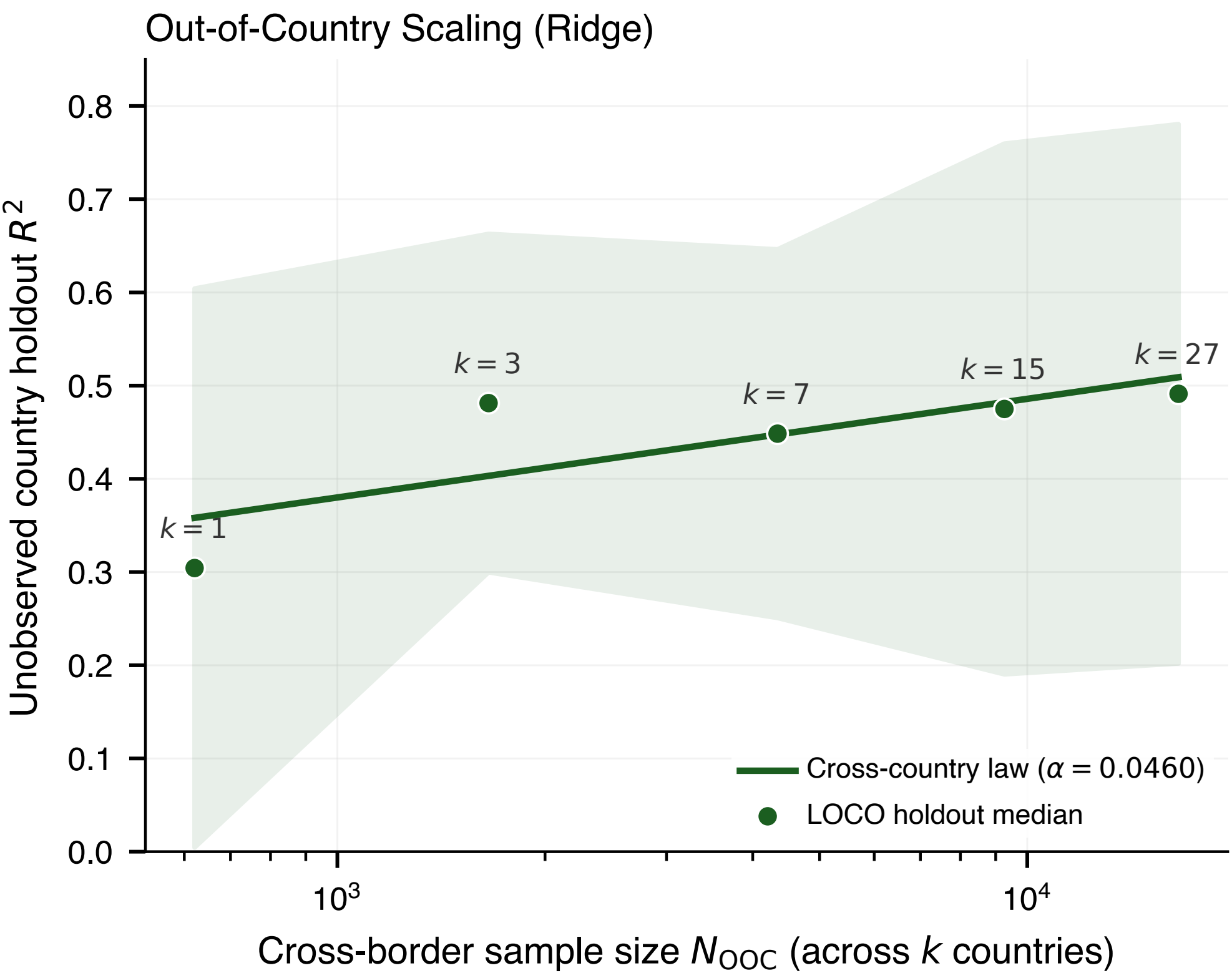
Out-of-Country Scaling (Ridge)
Unobserved country holdout R^2
0.0
0.1
0.2
0.3
0.4
0.5
0.6
0.7
0.8
10^3
10^4
Cross-border sample size N_{OOC} (across k countries)
$k = 1$
$k = 3$
$k = 7$
$k = 15$
$k = 27$
Cross-country law ($\alpha = 0.0460$)
LOCO holdout median